



Best's Credit Rating Effective Date

November 05, 2025

Best's Country Risk Reports Utilized

[Brazil - CRT - 4](#)

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

National Western Life Insurance Company

AMB #: 006811 | **NAIC #:** 66850 | **FEIN #:** 84-0467208

Ultimate Parent: AMB # 045126 - JAB Holding Company s.à.r.l.

Best's Credit Ratings

Financial Strength Rating (FSR)

A-
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a-
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Adequate
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Rationale

Balance Sheet Strength: **Very Strong**

- The company maintains the strongest level of risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR).
- Balance sheet strength is expected to be impacted by planned capital withdrawals as part of the acquisition by Prosperity Life Group.
- The investment portfolio is conservative and has a low percentage of high-risk assets offset in part by significant holdings of NAIC Class 2 bonds. Additional yield is added via strategic use of asset-backed securities and private placement.
- Product reserves are heavily concentrated in fixed indexed annuities. Risk was lessened with utilization of reinsurance agreements.

Operating Performance: **Adequate**

- The company has realized consistently positive earnings.
- Reliable investment income offsets underwriting losses. Capital gains in most years add to the surplus position.
- Premium growth has been challenged and volatility has increased in recent years due to the strategic focus on the domestic book of business.

Business Profile: **Neutral**

- The company's mix of existing business includes both domestic and international business although both in-force and new business blocks are weighted towards domestic and annuities business.
- Disengaged markets make up all of the in-force international life insurance revenue.
- The company faces intense competition in the fixed indexed annuity market, which composes a high percentage of sales.

Enterprise Risk Management: **Appropriate**

- National Western Life Insurance Company is exposed to elevated regulatory risk due to domestic fixed indexed annuity and international life insurance exposures.
- A formal ERM framework has been established in line with industry standards.
- The company utilizes an effective hedging program to mitigate fixed indexed, universal life, and annuity risk.

Outlook

- The stable outlooks reflect the expectation that the company will maintain a balance sheet strength assessment in at least the very strong range over the intermediate term, supported by favorable balance sheet metrics while maintaining continued long-term profitability.

Rating Drivers

- A negative rating action could occur if there is a material decline in balance sheet metrics.
- A negative rating action could occur if there is an unfavorable trend in operating earnings.
- While unlikely in the near term, an improvement in the overall balance sheet strength metrics could lead to a positive rating action.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	53.5	45.2	41.2	40.1

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Assets:							
General Account	7,906,964	9,543,859	8,214,964	9,803,486	10,426,457	10,771,683	10,701,321
Total	7,906,964	9,543,859	8,214,964	9,803,486	10,426,457	10,771,683	10,701,321
Liabilities:							
Net Life Reserves	2,830,719	6,094,540	2,778,208	6,347,109	6,939,557	7,361,640	7,196,099
Net Accident & Health Reserves	2	470	459	569	175	308	183
Liability for Deposit Contracts	271,797	22,486	272,720	22,833	20,365	15,306	7,165
Asset Valuation Reserve	94,778	144,796	125,787	147,661	147,215	115,825	112,098
Other General Account	3,935,295	1,550,676	4,227,754	1,620,291	1,774,636	1,698,430	1,880,613
Total	7,132,592	7,812,967	7,404,928	8,138,463	8,881,948	9,191,507	9,196,158
Total Capital and Surplus	774,372	1,730,892	810,035	1,665,023	1,544,509	1,580,176	1,505,163
Net Income	195,471	52,617	161,194	91,985	67,888	63,476	6,487
Net Premiums Earned	167,917	129,383	-2,902,422	232,034	154,588	725,416	-1,084,902
Net Investment Income	190,447	218,575	471,608	389,650	397,099	526,342	404,070

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	6-Months		Year End - December 31					Weighted Average
	2025	2024	2024	2023	2022	2021	2020	
Operating Return on Revenue	7.9	15.9	-6.8	11.9	12.7	5.3	-1.4	-49.1
Operating Return on Capital and Surplus	6.3	6.1	13.2	4.4	4.3	4.2	0.7	5.0
Net Investment Yield	4.8	4.6	5.3	3.9	3.8	4.9	3.8	4.3
Pre-Tax Investment Total Return	8.8	4.8	4.6	4.2	3.7	5.6	3.9	4.4

Source: BestLink® - Best's Financial Suite

Leverage (%)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	9.2	4.5	9.1	4.9	5.8	5.8	6.1
Higher Risk Assets to Capital and Surplus:							
All Other Higher Risk Assets	68.9	23.6	63.2	26.5	28.3	20.5	30.5

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Current Liquidity (%)	112.1	125.6	110.6	125.6	124.8	123.1	127.6
Net Operating Cash Flow USD (000)	26,271	-229,975	-429,568	-454,142	-130,677	237,517	-83,744

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

NWLIC maintains the strongest level of risk-adjusted capitalization given its current business, insurance, and investment risks. The significant growth in interest-sensitive liabilities over the last several years, driven by indexed annuity deposits, generally requires significant capital to support policyholder obligations. The company's capital base has been supported by its overall profitable statutory net operating performance, a high quality fixed-income investment portfolio, strong cash flow analytics and a robust asset-liability matching program. Statutory capital had reported favorable growth in recent years. Capital has grown at a 4% rate over the past five years. The future capital position will be monitored following the 2024 acquisition by Prosperity Life. While capital withdrawals are expected, an RBC level of at least 400% will be maintained.

Balance Sheet Strength (Continued...)

On December 31, 2020, National Western entered into an annuity reinsurance agreement with Prosperity Reinsurance, in a transaction covering approximately \$1.7 billion in fixed annuity reserves. This covered much of National Western's higher guaranteed rate annuities and reduced overall product risk and increased investment spreads. The deal increased NWLIC's RBC ratio by approximately 200-250%.

Capital Generation Analysis USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Beginning Capital and Surplus	810,035	1,665,023	1,665,023	1,544,509	1,580,176	1,505,163	1,529,487
Net Operating Gain	24,958	52,021	163,968	70,506	66,505	64,441	9,964
Net Realized Capital Gains (Losses)	170,513	596	-2,774	21,479	1,383	-965	-3,477
Net Unrealized Capital Gains (Losses)	-50,021	12,116	-10,171	12,062	-13,644	556	19,066
Stockholder Dividends	-200,000	...	-1,270,000	-5,000	-2,000	...	...
Other Changes in Capital and Surplus	18,886	1,135	263,989	21,467	-87,911	10,981	-49,877
Net Change in Capital and Surplus	-35,664	65,869	-854,987	120,514	-35,667	75,013	-24,324
Ending Capital and Surplus	774,372	1,730,892	810,035	1,665,023	1,544,509	1,580,176	1,505,163
Net Change in Capital and Surplus (%)	-4.4	4.0	-51.3	7.8	-2.3	5.0	-1.6
Net Change in Capital and Surplus (5 yr CAGR)	...	...	-11.9	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

NWLIC's investment portfolio is viewed as lower risk compared to industry averages due to the modest allocations to higher risk assets, including below investment grade bonds and equities. Additionally, the equity securities are almost entirely its ownership of subsidiary entities. The company manages the portfolio based on an asset-liability matching program, attempting to limit the impact of a change in interest rates given the significant proportion of reserves related to annuities. The invested asset portfolio is comprised primarily of investment grade bonds. However, A.M. Best notes that the allocation to NAIC class 2 bonds has generally increased over the past few years and is above industry averages.

NWLIC does not purchase below investment grade bonds, but rating downgrades have resulted in modest exposure. The bond portfolio is well-diversified among government agency issues, corporate obligations, public utility securities and U.S. Government debt. NWLIC has been increasing its allocation to commercial mortgage loans in recent years to support yields and its duration matching program, although the allocation remains well below industry averages. The commercial mortgage loan portfolio is comprised of primarily income-producing properties such as shopping centers, freestanding retail stores, office buildings, industrial and sales or service facilities, selected apartment buildings, hotels, and health care facilities. Additionally, NWLIC holds a sizable notional amount of derivatives due to the index call options used to hedge the equity return exposure on the indexed life and annuity policies. The company purchases options through several counterparties, and maintains collateral agreements to limit its net exposure. Finally, the company has been participating in private placement investment opportunities to gain exposure and additional yield, minimum level of overall exposure compared to the portfolio as a whole.

Composition of Cash and Invested Assets	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	7,716,612	9,370,978	8,025,076	9,640,657	10,262,562	10,618,321	10,550,886
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	8.5	3.7	5.4	3.5	1.9	5.8	4.6
Bonds	76.5	81.8	77.9	82.8	85.5	82.4	85.4
Stocks	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Mortgage Loans	7.7	5.1	6.8	4.8	4.8	4.4	3.0
Other Invested Assets	6.0	4.0	5.8	3.8	3.2	2.7	2.3
Total Unaffiliated	98.7	94.7	96.1	95.0	95.4	95.4	95.4
Investments in Affiliates	1.3	5.3	3.9	5.0	4.6	4.6	4.6
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	0.1	0.2	0.1	0.2	0.2	12.1
Government Agencies and Municipal Bonds	0.9	1.4	0.9	3.2	0.8	11.2
Industrial and Miscellaneous Bonds	15.3	35.3	18.0	13.1	10.3	7.6
Bank Loans	...	...	...	0.2	...	13.7
Hybrid Securities	...	0.1	...	...	0.1	16.8
Total Bonds	16.2	37.0	18.9	16.4	11.4	7.9

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	6,255,538	7,985,429	8,775,789	8,753,075	9,005,974
US Government (%)	0.5	0.6	0.6	0.2	0.3
Foreign Government (%)	0.2	0.7	0.6	0.6	0.1
Foreign - All Other (%)	18.0	20.0	20.6	21.0	24.2
State, Municipal & Special Revenue (%)	7.2	4.9	5.5	7.9	11.8
Industrial & Miscellaneous (%)	74.0	73.9	72.7	70.2	63.7
Hybrid Securities (%)	0.2	...	...	...	...
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Reserve Adequacy

NWLIC holds conservative reserves, approximately \$300 million in AXXX reserves.

Holding Company Assessment

NWLIC and Ozark make up over 80% of the capital under the holding company. There is no debt held at the holding company level.

Operating Performance

Reported Net Income has been continuously increasing over the past 3 years, but volatility continues to stem from the hedging program. Earnings have primarily been supported by the international life and annuity segments, as domestic life has recorded statutory losses and modest GAAP earnings. Premium trends have declined in recent years, which is partially reflective of the strategic reduction in fixed annuities in the low interest rate environment and the decision to stop accepting life business from residents in international markets. Despite the decision to stop selling international life business a significant portion of total company premiums are related to international business renewal premiums. However, A.M. Best notes that a significant part of NWLIC's annuity sales are indexed annuities in qualified plans.

Earnings projections show a steady increase through 2025, with annuity sales continuing to dominate as a percent of total sales being around 76% by year-end 2025. Domestic life profits are expected to be negative through 2025 while profits from the international block will continue to decrease. Most profits continue to come from indexed annuities which will stay the course through 2025. It should be noted that the Prosperity transaction may change growth expectations moving forward. Expenses should be better controlled under the new ownership structure with enhanced shared services and elimination of duplicated duties allowing for better synergies within the entire organization of Prosperity.

Although returns from the domestic life block are lower than those of international and annuity segments due to higher initial commissions on new business, they are consistent with pricing expectations and meet the company's objectives. As new premium volumes have declined and the renewal block has continued to scale, earnings from the domestic block have improved. International

Operating Performance (Continued...)

life continues to benefit from strong persistency and favorable pricing that support stable earnings trends, however, the company's decision to stop accepting applications from residents in international markets is expected to impact premium trends in the near-term. The annuity segment's profitability is a result of the investment performance relative to its crediting rates, which have been historically good as the company effectively manages credits rates in the continued low interest rate environment.

Year End - December 31

Net Operating Gain By LOB USD (000)	2024	2023	2022	2021	2020
Individual Life	30,427	11,069	-2,658	13,532	8,558
Individual Annuities	55,444	50,413	21,004	-9,110	-41,501
Group Annuities	-5,167	-26,265	-20,063	-613	-20,060
Accident & Health	163	59	85	92	75
Other Lines of Business	83,101	35,229	68,137	60,540	62,893
Total	163,968	70,506	66,505	64,441	9,964

Source: BestLink® - Best's Financial Suite

Year End - December 31

Accident & Health Statistics	2024	2023	2022	2021	2020
Net Premiums Written USD (000)	2,080	2,555	3,069	3,148	2,746
Net Premiums Earned USD (000)	2,080	2,555	3,069	3,148	2,746
Claims and Cost Containment Ratio (%)	88.9	96.0	95.8	96.0	96.1
Expense Ratio (%)	1.2	1.1	0.7	0.3	0.5
Combined Ratio (%)	90.1	97.1	96.5	96.3	96.7
Underwriting Results USD (000)	207	75	107	116	92

Source: BestLink® - Best's Financial Suite

Business Profile

It has been announced as of early Q1-2025 that JAB Holding Company (JAB), have entered into a definitive agreement to acquire Prosperity Life Group from Elliott Investment Management. The transaction is subject to customary closing conditions, including receipt of insurance regulatory approvals, and did finally close as of September 5, 2025. JAB can provide additional patient capital for sustained growth if needed with a commitment to the Prosperity business plan which includes National Western Life.

National Western Life Insurance Company (NWLIC) is a wholly owned subsidiary of National Western Life Group, Inc. Effective July 9, 2024, The parental holding company of NWLIC, National Western Group, Inc, was acquired and made a subsidiary of S. USA Life Insurance Company, Inc within the Prosperity organization. NWLIC is licensed to sell life insurance and annuity products in 49 U.S. states (excluding New York), the District of Columbia, various U.S. territories or possessions, and Haiti. NWLIC does not maintain international operations, but until a few years ago it previously accepted applications sent to its Austin, TX home office from residents of various countries in South America, the Caribbean, Eastern Europe, and Asia.

NWLIC's domestic operation focuses on the middle and upper-middle income markets, offering a full array of traditional life insurance products, including universal life insurance, term life and whole life, and annuities. The equity indexed universal life product (EIUL) portfolio has been a steady provider of domestic ordinary life sales over the past several years. Domestic annuity products are sold both on a tax qualified and nonqualified basis and include flexible premium deferred annuities (FPDA), single premium deferred annuities (SPDAs), equity-indexed annuities (EIAs), and single premium immediate annuities (SPIAs).

While NWLIC has ceased accepting new international insurance applications, the company processed international insurance applications for over 50 years, and currently maintains a significant inforce block of business. A.M. Best recognizes NWLIC's international life segment as a key contributor to earnings, as well as offering diversification to its risk profile. NWLIC's international life operations focused on foreign nationals in upper socioeconomic classes that had substantial financial resources by offering fixed indexed universal life, universal life, whole life, interest sensitive whole life, and term life denominated in U.S. dollars. A.M. Best notes historical claims experience due to natural causes has been similar to that in the U.S., principally due to the relative wealth and subsequent access to quality medical care of individuals insured. However, historical claims experience due to unnatural causes (accident and homicide) has been somewhat higher than U.S. claims experience and the international products are priced for the extra mortality.

Business Profile (Continued...)

NWLIC markets and distributes products domestically through independent national marketing organizations (NMOs) who assist NWLIC in recruiting, contracting, and managing independent agents. The company continues to recruit additional distributors while also exploring alternative distribution channels such as partnerships with banks and broker-dealers. Additionally, as part of its strategic focus in the U.S., NWLIC has shifted the oversight of non-English speaking clientele previously served by its international marketing staff to its Culturally Diverse Marketing group to utilize its bi-lingual expertise from its Latin and South American and Asian businesses. NWLIC was the first company to submit and receive approval for a bi-lingual application in 2017.

In addition to its life insurance business, NWLIC has various non-insurance subsidiaries which have only modest impact on NWLIC's consolidated financial operations. The Westcap Corporation (Delaware) is a real estate management company managing various commercial real estate investments. NWL Financial, Inc. (Nevada) owns various non-Texas sourced investments such as preferred stock, common stock, and municipal bonds. NWLSM, Inc. (Nevada) holds investments in municipal bonds as well as the life interest in the Libbie Shearn Moody Trust until November 2023. Several other subsidiaries were transferred to the parent holding company through stock dividends.

NWLIC acquired Ozark National Life in January 2019, which has historically generated steady positive operating earnings. Ozark uses the Seminar Dinner System to sell primarily ordinary life business (whole life) in rural areas.

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	177,619	57.5	...	...	1,035,141	32.2	-857,522	29.5	-99.9
Individual Annuities	128,851	41.7	...	...	2,098,338	65.3	-1,969,488	67.9	-99.9
Group Annuities	140	...	...	...	77,633	2.4	-77,493	2.7	-99.9
Accident & Health	2,080	0.7	...	...	...	...	2,080	-0.1	100.0
Total	308,690	100.0	...	...	3,211,112	100.0	-2,902,422	100.0	-99.9

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2024	2023	2022	2021	2020
Aggregate Alien	291,459	47,791	54,562	60,862	66,684
Florida	43,120	30,531	42,580	91,579	65,656
Nebraska	32,609	9,504	20,178	19,225	13,686
Pennsylvania	15,298	16,093	17,134	29,707	20,542
Texas	14,061	17,991	21,654	29,624	40,168
Top 5 States	396,546	121,910	156,109	230,996	206,735
All Other	163,246	166,156	284,398	518,895	437,046
Total	559,793	288,066	440,507	749,892	643,781
Geographic Concentration Index	0.29	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

As part of the acquisition by Prosperity, its governance structure and risk management capabilities will be made available to National Western Life Ins. Co. (NWLIC). NWLIC has developed a comprehensive enterprise risk management (ERM) infrastructure and continues to update and implement risk management techniques throughout the organization. In 2016, the company formalized its risk management process by establishing a Risk Management Committee (RMC) and identifying a Chief Risk Officer (CRO). Supporting the RMC is a Risk Management unit which coordinates the activities of various sub-committees focused on monitoring specific risk categories including: ALM, Product Development, Disclosure, Compliance, and Underwriting. The company has established board-approved risk tolerances and constraints which are monitored frequently, particularly within the higher risk international market, and continually analyzes potential emerging risks.

Enterprise Risk Management (Continued...)

Reinsurance Summary

NWLIC reinsures 20% of inforce life insurance business with highly rated counterparties (SCOR, RGA, Hannover Life). Effective December 31, 2020, the company entered into a funds withheld coinsurance reinsurance agreement which included inforce fixed rate annuities approximating \$1.7 billion in reserves.

Environmental, Social & Governance

AM Best considers NWLIC's exposure to material environmental, social and governance (ESG) risks to be low. The company operates in an environment where its underwriting activities have low exposure to climate risk, and its underwriting and investment profiles are not exposed to assets and industries considered by some to be problematic. Presently ESG factors are unlikely to impact the credit quality of the company over the short-term. There are no regulatory requirements relating to ESG, although the company regularly monitors developments to ensure its practices are compliant.

Financial Statements

	6-Months		Year End - December 31			
	2025		2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%	USD (000)	%
Cash and Short Term Investments	653,818	8.3	434,242	5.3	335,181	3.4
Bonds	5,899,594	74.6	6,255,538	76.1	7,985,429	81.5
Preferred and Common Stock	105,581	1.3	324,713	4.0	491,908	5.0
Other Invested Assets	1,057,619	13.4	1,010,583	12.3	828,139	8.4
Total Cash and Invested Assets	7,716,612	97.6	8,025,076	97.7	9,640,657	98.3
Premium Balances	1,811	...	2,873	...	3,376	...
Net Deferred Tax Asset	47,714	0.6	45,143	0.5	51,931	0.5
Other Assets	140,827	1.8	141,872	1.7	107,523	1.1
Total General Account Assets	7,906,964	100.0	8,214,964	100.0	9,803,486	100.0
Total Assets	7,906,964	100.0	8,214,964	100.0	9,803,486	100.0
Net Life Reserves	2,830,719	35.8	2,778,208	33.8	6,347,109	64.7
Net Accident & Health Reserves	2	...	459	...	569	...
Liability for Deposit Contracts	271,797	3.4	272,720	3.3	22,833	0.2
Asset Valuation Reserve	94,778	1.2	125,787	1.5	147,661	1.5
Other Liabilities	3,935,295	49.8	4,227,754	51.5	1,620,291	16.5
Total General Account Liabilities	7,132,592	90.2	7,404,928	90.1	8,138,463	83.0
Total Liabilities	7,132,592	90.2	7,404,928	90.1	8,138,463	83.0
Capital Stock	2,500	...	2,500	...	2,500	...
Paid-In and Contributed Surplus	41,563	0.5	41,563	0.5	41,563	0.4
Unassigned Surplus	690,171	8.7	726,448	8.8	1,620,959	16.5
Other Surplus	40,137	0.5	39,524	0.5	...	...
Total Capital and Surplus	774,372	9.8	810,035	9.9	1,665,023	17.0
Total Liabilities, Capital and Surplus	7,906,964	100.0	8,214,964	100.0	9,803,486	100.0

Source: BestLink® - Best's Financial Suite

	6-Months		Year End - December 31	
	2025	2024	2024	2023
Income Statement USD (000)				
Net Premiums Earned:				
Individual Life	...	...	-857,522	147,869
Individual Annuities	...	...	-1,969,488	81,589
Group Annuities	...	...	-77,493	22
Accident & Health	...	...	2,080	2,555
Total Net Premiums Earned	167,917	129,383	-2,902,422	232,034
Net Investment Income	190,447	218,575	471,608	389,650
Other Income	-44,138	-21,634	22,589	-27,002
Total Revenue	314,226	326,323	-2,408,225	594,682
Policy Benefits	235,881	183,678	-2,776,356	316,383
Commissions and Expense Allowances	20,073	15,076	31,524	26,489
Insurance and Other Expense	54,336	50,459	102,969	139,547
Dividends to Policyholders	10	12	26	26
Pre-Tax Net Operating Gain	3,926	77,098	233,612	112,237
Income Taxes Incurred	-21,032	25,077	69,645	41,731
Net Operating Gain	24,958	52,021	163,968	70,506
Net Realized Capital Gains	170,513	596	-2,774	21,479
Net Income	195,471	52,617	161,194	91,985

Source: BestLink® - Best's Financial Suite

AMB #: 006811 - National Western Life Insurance Company

Statement of Operating Cash Flows USD (000)	6-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Collected	169,177	129,952	271,599	231,512
Net Investment Income	183,537	195,200	406,900	415,824
Other Income Received	-42,954	-25,124	-52,780	-37,453
Total Collected Operating Revenue	309,760	300,028	625,719	609,884
Net Benefits and Loss Related Payments	182,827	437,025	789,458	909,965
Commissions and Other Expenses Paid	79,959	58,738	228,177	114,752
Dividends to Policyholders	11	13	28	28
Income Taxes Paid (Recovered)	20,692	34,226	37,625	39,281
Total Paid Expenses and Transfers	283,489	530,003	1,055,287	1,064,026
Net Operating Cash Flow	26,271	-229,975	-429,568	-454,142

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Evaluating Country Risk, 06/06/2024](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

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BEST'S CREDIT REPORT

AMB #: 006811 - National Western Life Insurance Company

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